FISCAL ANALYSIS · REFRESHED JUNE 2026

THE HERITAGE FUND: A RECORD OF CHOICES

What the government's own numbers show about a province that built, protected, and grew a savings fund in the same years it cut the disability floor beneath 79,290 Albertans

This is an updated record of the Alberta Heritage Savings Trust Fund, current to the government's most recent published figures. It does not claim that billions are sitting idle that could simply be spent on disability income. It documents something harder to answer: that the same government, in the same window, chose to deposit billions into the Fund, retain every dollar of its earnings, build a new Crown corporation to govern it, and reaffirm a $250 billion target, while moving 79,290 disabled Albertans onto a lower benefit. The question is not whether Alberta can afford its disabled residents. It is what the record shows it chose to do instead.

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The Alberta Disability System Breakdown

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THE CENTRAL FINDING

This is a record of the Alberta Heritage Savings Trust Fund, updated to the government's most recent published figures. It does not argue that money in the Fund should simply be handed out to pay for disability income. That framing has an easy answer: the Fund is long-term savings, the province is running deficits, and the law protects it. This document makes a narrower and harder point.

It is a record of choices. In the same years the government cut, clawed back, and restructured disability income, it chose to deposit billions into the Heritage Fund, to keep the law that lets the Fund retain every dollar it earns, to build a new Crown corporation to govern it, and to reaffirm a target of $250 billion by 2050 that it says remains on track even with no new deposits at all. Those are not the decisions of a province that cannot afford its disabled residents. They are the decisions of a province that prioritized otherwise.

1. THE FUND TODAY

These are the government's own numbers, from its quarterly report for 2025-26. The annual report carrying the March 31, 2026 value had not yet been published as of this writing, so the most current official figure is the third-quarter result.

Heritage Fund — the government's figures	Amount
Fair value of net financial assets (December 31, 2025)	**$31.9 billion**
Growth in the third quarter of 2025-26 alone	**$383 million**
Fiscal year-to-date return (to December 31, 2025)	**7.7%**
Value one year earlier (March 31, 2025)	**$27.2 billion**
Five-year annualized return (to March 31, 2025)	**9.6%**
Government's stated target for the Fund by 2050	**$250 billion**

The Fund grew $383 million in a single quarter. Since 2022-23, the government has also kept in place the rule that all of the Fund's investment earnings are retained and reinvested rather than spent. That means the Fund keeps growing on its own returns even in a year when no new deposit is made.

> *Government of Alberta, Heritage Savings Trust Fund and 2025-26 Third Quarter Report (alberta.ca); Alberta Heritage Savings Trust Fund 2024-25 Annual Report (open.alberta.ca), $27.2 billion at March 31, 2025, five-year return 9.6%.*

2. THE DEPOSITS THEY CHOSE TO MAKE

The government did not merely let the Fund grow on its own. During its surplus years it actively fed it. Alberta posted four consecutive budget surpluses through 2024-25, including an $8.3 billion surplus in 2024-25, and chose to route surplus cash into the Fund.

Deposit	Amount and source
Deposited into 2024-25 (from the 2023-24 surplus)	**$2.0 billion**
For 2025-26 (from the 2024-25 surplus), approved by Treasury Board July 7, 2025	**$2.8 billion**
Total contributions, 2022-23 through 2025-26	**about $5.6 billion**

Each of these was a decision about where surplus money went. The province could have indexed or restored disability income with a fraction of any one of these deposits. It chose savings.

> *Alberta Heritage Savings Trust Fund 2024-25 Annual Report ($2 billion deposited from the 2023-24 surplus); Government of Alberta 2025-26 Third Quarter Report ($2.8 billion for 2025-26, Treasury Board approval July 7, 2025); Fraser Institute, on Budget 2026 and the halt to deposits ($5.6 billion total contributions 2022-23 to 2025-26), February 26, 2026.*

3. THE ARCHITECTURE THEY BUILT

In January 2025 the government created an entirely new Crown corporation, the Heritage Fund Opportunities Corporation, to govern and grow the Fund’s assets, with what it called a world-class, independent board. Its chair is Joe Lougheed, a Calgary lawyer and the son of Peter Lougheed, the premier who created the Heritage Fund in 1976. The board was expanded in July 2025. Its directors are appointed by Cabinet.

The contrast is not rhetorical. Peter Lougheed’s government created the Heritage Fund in 1976. It also created AISH in January 1979, the first program in Canada designed for people with permanent disabilities, built deliberately apart from welfare so that severely disabled Albertans could live with dignity. The same government had, in 1972, repealed Alberta’s eugenics legislation on human-rights grounds. That is the legacy. Today, the government builds a new corporation, chaired by the founder’s son, to steward the Fund he created, while it dismantles the disability program from the same legacy and moves its recipients onto a lower benefit.

The third founding objective written into the Heritage Savings Trust Fund Act in 1976, to improve the quality of life of Albertans, is still in the law. The Fund has been given a Crown corporation, a world-class board, and a half-century target. The objective that was supposed to reach disabled Albertans has been given a cut.

> *CBC News, “Danielle Smith announces new Crown corporation to oversee Alberta’s rainy day fund,” January 29, 2025; Globe and Mail, “Alberta adds $2.8-billion to Heritage Fund, expands board,” July 2025; Government of Alberta, Heritage Savings Trust Fund (HFOC board); Lethbridge Herald letters (AISH established January 1979 under Peter Lougheed); Alberta Views, “Overhauling AISH” (1972 repeal of eugenics legislation).*

4. THE HALT, AND WHAT IT DID NOT STOP

On February 26, 2026, Budget 2026 halted new deposits to the Fund. The Finance Minister at the time, Nate Horner, said there would be no new deposits in the foreseeable future, citing deficits of $4.1 billion in 2025-26 and a projected $9.4 billion in 2026-27, with provincial debt rising. (Horner left Cabinet in the May 21, 2026 shuffle; Jason Nixon is now Minister of Finance.)

The deficits are real: a revised $4.1 billion in 2025-26, a projected $9.4 billion in 2026-27, and further shortfalls of $7.6 billion and $6.9 billion in the two years after, with no path back to balance. But they do not rescue the affordability argument, and the government's own numbers are why. The deficit is a reversal, not a long decline: it follows four consecutive surpluses, including the $8.3 billion surplus in 2024-25, the same surpluses the government chose to route into the Fund. It is partly self-inflicted: the province's own personal income tax cut, worth more than a billion dollars a year, was named among the drivers of the red ink in Budget 2025. And the rest is driven by forces no disabled Albertan controls. The Finance Minister attributed it to oil priced at $60.50 a barrel against the $71 he had forecast a year earlier, with every one-dollar drop carving roughly $680 million off the bottom line, and to population growth that arrived without an economic boom. AISH recipients did not move the price of oil.

And the halt did not stop the Fund from growing. Because all earnings are retained, the Fund keeps compounding on its own returns; the same budget projected it to grow to about $34 billion by the end of 2026-27, and the government reaffirmed that its $250 billion by 2050 target remains on track even without three years of deposits. So in the same budget that said the province could not afford new savings, the government confirmed that the savings plan was intact, the Fund was still growing, and the long-term target still held. The thing that was cut was not the Fund. It was disability income.

> *Government of Alberta, Budget 2026 (February 26, 2026); CBC News, Global News, and TD Economics on Budget 2026 (revised 2025-26 deficit $4.1 billion; 2026-27 deficit $9.4 billion, then $7.6 billion and $6.9 billion, with no path to balance; $8.3 billion surplus in 2024-25; WTI oil $60.50 versus $71 forecast, about $680 million per $1; Fund projected to about $34 billion by end of 2026-27); Global News on Budget 2025 (personal income tax cut of more than $1 billion a year cited among deficit drivers); Fraser Institute on the halt to Heritage Fund deposits; CBC News, May 21, 2026 cabinet shuffle (Horner exit, Nixon to Finance).*

5. THE OTHER SIDE OF THE LEDGER

Here is what the same government did to the disability floor in the same window:

- Cut the AISH program budget by $49 million in Budget 2025, with further reductions projected in the following years.
- Began clawing back the federal Canada Disability Benefit dollar-for-dollar from July 2025, removing roughly $190 million a year from recipients who see no net gain from the federal payment.
- Removed independent appeal rights from AISH recipients through Bill 12 in December 2025.
- Moved the entire AISH caseload of 79,290 people onto the lower-benefit Alberta Disability Assistance Program (ADAP), mandatory as of July 1, 2026.

None of this is the Heritage Fund’s fault, and that is exactly the point. The Fund is healthy, protected, and growing. The disability floor is none of those things. The two outcomes were produced by the same government, in the same years, out of the same surpluses.

> *Government of Alberta, Budget 2025 and Budget 2026; AISH Caseload Open Data, September 2025 (caseload 79,290); Bill 12 (December 2025); Government of Alberta CDB clawback documentation, effective July 2025.*

WHAT THE RECORD ESTABLISHES

This is not an argument that the Heritage Fund should be raided to pay for AISH. It is a record of priorities. A government that truly cannot afford something does not, in the same years, deposit billions into savings, keep every dollar those savings earn, build a Crown corporation to govern them, and reaffirm a $250 billion target it says holds with no new deposits. It does those things when the savings are the priority.

The 1976 Act that created the Fund wrote a third objective into law: to improve the quality of life of Albertans. The Fund has been protected, governed, and grown. For 79,290 disabled Albertans, that objective has not. The gap is not explained by affordability. It is explained by choice, and the choice is documented in the government's own numbers.

The Alberta Disability System Breakdown — Advocate
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